

SPECIALISED DISTRIBUTION

Volumes across **FUEL OIL DISTRIBUTION** were roughly in line with last year. Despite the mild and wet Winter, volumes of domestic heating oil were up 15.2%. The start of the lockdown period coincided with an unprecedented fall in the oil price and this, alongside the general rush of panic buying that swept the country led to a surge in demand. Falling oil prices can push up margins where we get our purchasing and stock management strategies right and where product is available. Alongside the change in product mix to higher margin kerosene, average bulk pence per litre rose 38.6% in the year. Our credit control and account authorisation procedures have been tightened to plan for a reduction in insured limits available and trading difficulties at our major commercial customers to reduce the likelihood of bad debts. The acquisition of software will help us plan and automate our preventative depot maintenance programs and ensure that scheduled tasks are completed on time.

After a challenging prior year, our largest fuels business **CHANDLERS** re-bounded strongly. Volumes were up 6.4% and bulk margin 47.5%. Backdated depot maintenance was substantially completed in Summer 2019 and the remaining new vehicles were finally added to the fleet after significant delays at the manufacturers. As a result, the in-house workshop closed at the end of May 2020 and we will seek a tenant for this space. The business moved to paperless routing, digital driver hours tracking and on-truck computing and has invested in driver training and engagement, all of which are having a positive impact on efficiency, productivity and morale. However, recruitment and retention remain our top priority and we will be trialling a driver apprenticeship program.

The newest depot in Norfolk has doubled its volume targets and additional vehicles will be located there in due course. Our depot in Lincoln has been closed, with drivers relocated to nearby facilities and the facility will be decommissioned and leased or sold. The negotiation of a supply contract has aided product availability from the refinery. The structure of the sales function has been reviewed and the team will become more target driven in a bid to win more sales. A new website launched at the end of the financial year will assist with out of hours ordering and there is a planned expansion of our digital marketing and automated routing software. Environmental management remains a priority with additional stock gauging, drainage and interceptor works planned for 2020.

ALLAN STOBART LUBRICANTS & FUELS continues to reposition itself away from larger commercial diesel loads which were impacted during lockdown. Both gas oil and kerosene volumes were up substantially in the year, with a dry Summer stimulating agricultural consumption. The business supported its agricultural customers with the transition to bio gas oil. A lease with a tenant for the Kingstown depot was signed in July 2020 and a 10-year lease secured on the depot at Raughton Head. We will continue with depot improvements at the site. The transition to a new leadership team is underway and a review of the order processing software will take

place to ensure that it has the required functionality the new team will need to target prospects and lapsed customers. Customer visits will be recommenced. The website will be refreshed and a social media presence started. Opportunities to align the business processes with those of our other fuels businesses will be reviewed with the team to assess whether they are of benefit.



Profits from **FUELS NORTH WEST** have benefitted enormously from a new leadership team and the implementation of account management processes and focus on daily margins. Volumes increased 6% despite the loss of a 2m litre contract and average pence per litre margin rose 56.2% as service levels improved. An independent platform was launched to measure customer satisfaction and the business



focussed on commercial as well as domestic sales growth. A fuel card business was launched for existing customers and will be rolled out in the second half of 2020. A focus on additional sales such as additives, telemetry and lubricants are underway. We are looking to expand our trading area with an additional depot and a website allowing online ordering out of hours will be launched in the Autumn.

The bulk storage depot at Peterlee helped **FUELS NORTH EAST** continue to improve its efficiencies and provides superb resilience to product shortages and price volatility. Our partnership with AR Fuels came to an end as they took the distribution in-house. Efforts to replace this business have been impacted by the pandemic although significant additional volume has been gained from a third-party distribution arrangement. Despite achieving an increase in profits, the business was disproportionately impacted by the Covid-19 crisis on account of its high commercial and industrial presence which makes up over 70% of volume. Whilst the majority of these businesses have now re-started operations, the risk of bad debt remains high and we will be monitoring this closely. Our loyalty scheme and website will be re-launched in the Autumn and there will be a focus on lapsed customers. Paperless routing was introduced and training of an additional router is underway. On-truck computing will be trialled at our remote depot at Hexham during 2021.

Automated email marketing helped volumes from our online fuel platform **FUELFIGHTER** grow by almost 18%. We continue to experiment with paid advertising to find opportunities that will give us a return on our marketing investment.

The surge of interest in gardening during lockdown led to an 116% increase in the number of orders processed at **WCF HORTICULTURE** for mail order customers. This higher value fulfilment work replaced the packing revenues lost when retail customers were forced to close their garden centres. Priorities for the coming season will be to further strengthen customer and supplier relationships so that we are ideally placed to meet demand. Brexit will have implications on our ability to export seed potatoes after 31st December.

The acquisition of **A1 LAWN** in March coincided with a surge in demand for grass seed, weed killer and fertiliser. When Amazon closed their fulfilment centres to all but essential items we were forced to re-direct product, recruit additional pickers and rent more warehouse space to enable us to fulfill orders locally. This business is being managed out of WCF Horticulture and will be relocated to Perth prior to the Autumn.

The strategy for the coming season will capitalise on the renewed interest in gardening as well as the expanded range of products, with both retail and digital sales channels now being available to us. Customer loyalty programs will be added. The trading season for A1 Lawn will be expanded, the website re-launched and the order processing system updated. Trials of compostable packaging will be undertaken.



NICHE RETAILING AND LEISURE

Despite the impact of the pandemic and the February floods, revenues from **HOME SHOPPING** rose 2% on the prior year across all brands. At the end of December revenues were up 10.7%. Profits for the year were down 24% due to a reduction of 1.0% on gross margin caused by promotional activity, staff recruitment and an extended but weaker program of advertising. The mild Winter reduced demand for knitwear which was replaced with lower priced Summer clothing. The business moved to a skeleton staff during lockdown, with all remaining employees either furloughed or working from home. Catalogue mailings were cancelled, reduced or moved and postcards used successfully to continue to stimulate demand. The majority of customers were self-isolating and internet revenues rose to 25% of the total over the final quarter. Spend on our digital advertising rose during the year.



We have continued with our individual brand differentiation, launching a combined Mr & Mrs Meade story. The move to catalogues featuring more cross-seasonal and transitional pieces has been crucial in helping to balance ever-changing weather patterns. Experiments with cotton knitwear, cruise and occasion wear will continue. Investment in the main warehouse and an additional fabric warehouse will result in more efficient picking and returns, as well as doubling the size of the sewing and technical areas for the design of new pieces. The on-site shop closed in July 2019. Work to increase the portfolio of suppliers means over 80% of the in-house designed range is now dual sourced and using updated patterns and styles are looking to reduce the % of returns processed to increase the consistency of fit.

We are working on ways we can reduce our impact on the environment including the efficient use of product packaging, mailing catalogues where possible without polywrap and moving to a single customer view so ensuring that we communicate with individual customers how they would like. The majority of our suppliers are UK or European based and our range is predominately made from natural fibres. We now offer products and promotions supporting charities and are pleased to have donated almost £10k to the British Legion and NHS Charities Together.

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Our priorities for the coming year are focussed around the sale of accessorised outfits, a nightwear leaflet trial, improving stock management and achieving increases to our response rates, online sales, average order values and order frequency, as well as launching Local Click and Collect and additional ways to pay. Following changes made during lockdown we have changed the way that we process customer returns which has regrettably resulted in the redundancy of the returns department.



Like for like sales in **PET & EQUESTRIAN** rose 6%. All stores saw a huge surge in sales of pet feed during lockdown as customers' normal spending habits were altered. Our store procedures were altered to maintain social distancing whilst still allowing customers the opportunity to browse and obtain expert advice. We are delighted that this trend has continued. Many stores introduced a Call and Collect service to allow customers to pre-order goods for collection by them or someone else. The opening of Lidl on land adjoining our Cockermouth store in September 2019 saw sales from this store increase 10.0% year on year. Regrettably we were unable to generate the required footfall at Alnwick despite opening a dog café in November 2019 and the store closed at the end of June 2020, with the building being put up for sale. We will be evaluating opportunities for opening dog friendly cafes at additional stores.

The introduction of an upgraded EPOS system has improved the customer experience as well as facilitating in-store tasks such as stock taking, freeing up more time for our retail assistants to spend with customers. A card based electronic loyalty card will be launched in the Autumn alongside expansion of our digital marketing. Through a TerraCycle re-cycling scheme for customers the target is to increase throughput through this scheme by 30% in 2020/21.

Gross margin % increased by 0.4%. Sales of own brand products now account for almost 26% of turnover. A Beau superfood range was re-introduced in July 2020. Sales from own brand products on our website **WCF SELECT** rose and we will be looking at additional ways to sell our own brand products online.

Utilising a range of new listings, social media and conventional marketing and benefitting from guest referral and recommendation, occupancy rates at **HERDING HILL FARM** campsite were close to target until it was forced to close in March 2020. The site achieved the safe Covid accreditation from the AA and re-opened on 4th July with reduced facilities. Occupancy levels have been very high.

Prior to lockdown, the Visit England 5-star rating was retained and the site was highly commended in the North East category for campsite of the year. The wardens utilised the lockdown period to improve the site facilities. Demand for accommodation, especially those with hot tubs, remains high. A new website with additional upsell opportunities is increasing average revenues per pitch. We are currently seeking planning permission to introduce additional glamping options and expand our amenities.

Priorities for the coming year are partnerships with local suppliers to increase our offering, a continued expansion of our digital presence and identifying additional ways to generate off peak demand. With the purchase of two camper vans, our **HERDING CAMPERS** hire business was launched in the Summer. Events at the site will be re-introduced when safe to do so and site facilities will continue to be improved including additional serviced pitches.

